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TECHNICAL NOTE

CAPITAL MARKETS DEVELOPMENT

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This Technical Note was prepared in the context of a World Bank Financial Sector Assessment Program (FSAP) mission in Philippines during June, 2019 led by Ilias Skamnelos, World Bank, and overseen by the Finance, Competitiveness, and Innovation Global Practice, World Bank Group. The note contains the technical analysis and detailed information underpinning the FSAP assessment's findings and recommendations. Further information on the FSAP program can be found at www.worldbank.org/fsap.

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Scope and Approach

A WB mission visited the Philippines from June 3-20, 2019 to update the findings of the 2010 FSAP. This was a two-step full FSAP with the WB mission and the joint IMF-WB Basel Core Principles (BCP) for Effective Banking Supervision assessment mission taking place during June-July, 2019, prior to the IMF missions. In addition, the WB mission and the joint IMF-WB BCP assessment mission predated the outbreak of the global COVID-19 pandemic. The WB Technical Notes and the BCP Detailed Assessment of Observance have not been updated, but the FSA reflects the relevant policy reforms undertaken since the WB mission, and the findings and recommendations remain pertinent in light of the COVID-19 developments.

As part of this mission, selected IOSCO Objectives and Principles of Securities Regulation were assessed and are the subject of the separate Technical Note on Capital Markets Regulation and Supervision.

This Technical Note was prepared to determine potential reforms or initiatives that would provide further impetus towards the development of capital markets. It provides an overview of the government securities market and then delves into the corporate bond and equity markets. Greater emphasis has been placed on an analysis of the latter two markets as both the IMF and the ADB have identified the key challenges in the government securities market and have been working with the key regulators and issuer. Consequently, this note reviews the current state of the capital markets, provides an overview of the reforms and market developments since 2010 and provides several recommendations for the relevant regulators and SROs.

The note is organized as follows: Section I provides a broad overview of the debt and equity markets; Section II provides a macroeconomic overview; Section III deals with government securities markets; Section IV with corporate debt; and, Section V with equities.

Acronyms and Abbreviations

ADB	Asian Development Bank
AML	Anti-money laundering
ASEAN	Association of Southeast Asian Nations
AUM	Assets under management
BTr	Bureau of the Treasury
BAP	Bankers Association of the Philippines
BIR	Bureau of Internal Revenue
BPO	Business Process Outsourcing
BSF	Bond Sinking Fund
BSP	Bangko Sentral ng Pilipinas—Central Bank of the Philippines
CAGR	Compound Annual Growth Rate
CIS	Collective investment scheme
CMDP	Capital Market Development Plan
CMIB	Capital Markets Integrity Board of the Philippines Stock Exchange
DOF	Department of Finance
DST	Documentary stamp tax
ETF	Exchange traded fund
FSAP	Financial Sector Assessment Program
FWT	Final withholding tax (on interest income)
GDP	Gross domestic product
GMRA	Global Master Repurchase Agreement
GOCC	Government owned and controlled corporations
GS	Government securities
GSED	Government Securities Eligible Dealer
GSIS	Government Services Insurance System
HDMF	Home Development Mutual Fund
IOSCO	International Organisation of Securities Commissions
IC	Insurance Commission
IFRS	International Financial Reporting Standards
IMF	International Monetary Fund
IPO	Initial Public Offering
IRC	Interest Rate Corridor
KYC	Know Your Customer
LGU	Local Government Unit
MART	Money Market Association of the Philippines
MOU	Memorandum of Understanding
MTDS	Medium Term Debt Strategy
MTN	Medium Term Note
NRoSS	National Registry of Scripless Securities
OFW	Overseas Filipino workers
OIS	Overnight Index Swap System

OTC	Over the counter
PDEX	Philippine Dealing and Exchange Corporation
PDIC	Philippine Deposit Insurance Corporation
PDS Group	Philippine Dealing System Holdings Corporation
PDTC	Philippine Depository and Trust Corporation
PERA	Personal Equity and Retirement Account Act
PHIREF	Philippine Interbank Reference Rate
PHP	Philippine Peso
PhilHealth	Philippine Health Insurance Corporation
PhilPaSS	Philippine Payment and Settlement Systems
PSE	Philippine Stock Exchange
QIBs	Qualified Institutional Buyers
RTGS	Real Time Gross Settlement
REIT	Real Estate Investment Trust
SBL	Single Borrower Limit
SD	Stamp Duty
SEC	Securities and Exchange Commission
SRC	Securities Regulation Code
SRO	Self-Regulatory Organization
SSS	Social Security System
TRAIN	Tax Reform for Acceleration and Inclusion
TOAP	Trust Officers Association of the Philippines
WBG	World Bank Group
UITF	Unit Investment Trust Fund
USD	United States Dollar
VUL	Variable Unit Linked

EXECUTIVE SUMMARY¹

1. The Philippines corporate debt and equity markets will need to grow to provide alternative financing sources to support the strongly growing economy and emphasis on infrastructure spend. Capital markets deepening will be an essential pre-requisite for the country's continued economic development. The Philippines capital markets lag regional peers in terms of size and liquidity. In addition, sound macroeconomic fundamentals and recent strong economic growth are not reflected in the growth of the capital markets. The emphasis on infrastructure spend through the "Build, Build, Build" approach², will require diverse funding sources to be nurtured,

2. Well-functioning capital markets ensure the optimal allocation and pricing of capital. This enables retail and wholesale pools of capital to be efficiently deployed in a manner that maximizes returns for such owners of capital against their risk profile. Ultimately, capital should be priced according to the risks (creditworthiness) of its users and borrowers and becomes the source of expansion financing for companies and investment returns for investors. Policy reforms following the Asian Financial Crisis accompanied the growth of domestic markets in East Asia. The Philippines was not one of the worst affected countries from the Crisis and therefore focused more on developing its banking sector.

3. Although structural constraints exist on both the supply side (pipeline for issuance) and demand side (investor base), there are a number of initiatives that could be undertaken to grow issuance and investment. While, the conglomerate structure of the economy that provides sufficient liquidity to large groups; the service sector orientation of the economy, and high liquidity particularly in the banking sector have restricted capital markets development, other potential issuers such as sub-national entities could consider using the capital markets. The introduction of new products could be facilitated by improving market infrastructure. On the investor side, the domestic institutional investor base could be diversified and developed through needed pension reform and a streamlining of the many mutual fund structures. Technical and procedural barriers for foreign investors, particularly in the debt markets, could be streamlined and reduced.

4. Furthermore, there are a number of technical and operational issues that could be addressed, that could significantly improve the enabling environment for and functioning of

¹ This Technical Note is prepared by Yavar Moini, an external consultant to the WBG, as part of the assessment under a FSAP for the Philippines conducted by an IMF and a WB team during June 3-20, 2019

² Budgeted at USD 18 billion for 2019 (25 percent of the entire budget) and an essential part of the 'Build, Build, Build' approach, capital markets will have need to be effectively utilized if such ambitious targets are to be met.

the capital markets. The result of these factors has been a lack of focus in policy development and implementation that has hampered capital market development. Key issues include:

- a lack of commitment to reform from key stakeholders that has impeded the development of markets and market infrastructure;
- an onerous tax environment that has deterred issuance and investment;
- a continuing need to improve investor confidence by strengthening the quality of supervision and enforcement for market intermediaries and market operators;
- cumbersome regulatory requirements and processes around issuance, particularly debt issuance; and
- outdated and inefficient trading and post-trading infrastructure, and governance concerns regarding market operators.

5. In order to effect meaningful change, a capital markets champion is required. The latter will be required to traverse multiple government departments, regulatory bodies, and vested interests. This champion should be cognizant of the relevance of capital markets to the country and possess the will and vision to drive legislative, regulatory and tax reforms. In addition, a commitment to initiate a change in the ownership and governance of key exchanges and enforce policy against entrenched interests will provide considerable impetus for development.

KEY RECOMMENDATIONS

Recommendation	Timing	Agency
Money Markets and Government Debt		
Resolve documentation issues related to GMRA and make all GSED signatories	NT	BSP, BTr
Broaden the repo market to include non-bank financial institutions that are not GSEDs	NT	BSP, BTr, SEC
Introduce anonymous trading in relation to the repo market	NT	BSP, BTr
Enable greater leverage and rehypothecation of GS	NT	BSP
Expand repo market to high quality corporate and bank debt issuances	ST	BSP, BTr, SEC
Introduce buybacks and exchanges of existing GS	ST	BTr, BSP
Corporate Debt Market		
Rationalise the existing tax regime and conduct impact analysis of proposed tax reforms	ST	BIR, SEC
Streamline instrument registration process	NT	SEC
Review bond issuance regulation	NT	SEC
Allow taps of existing issues	NT	SEC
Enable local governments to come to market	MT	DOF, SEC
Enhance market-making support	NT	BSP, SEC
Deepen the institutional investor base especially in relation to pension funds and unit trust industry	MT	SEC, DOF, IC
Initiate one-time investor registration with BIR and PDTC	ST	BIR, SEC, PDTC
Improve trading and post-trading infrastructure by enhancing PDTC's systems	NT	DOF, SEC, BSP
Increase awareness of prospective issuers about bonds	MT	SEC
Equity Markets		
Minimise existing transaction taxes and resist imposition of new taxes	ST	BIR, SEC
Reduce fees and commissions	ST	SEC
Rationalise regulatory approval processes	NT	SEC
Increase investible instruments by introducing new products	ST	SEC
Increase the retail investor base	MT	SEC
Improve investor confidence by enhancing supervision and enforcement	NT	SEC
Improve financial literacy	MT	SEC

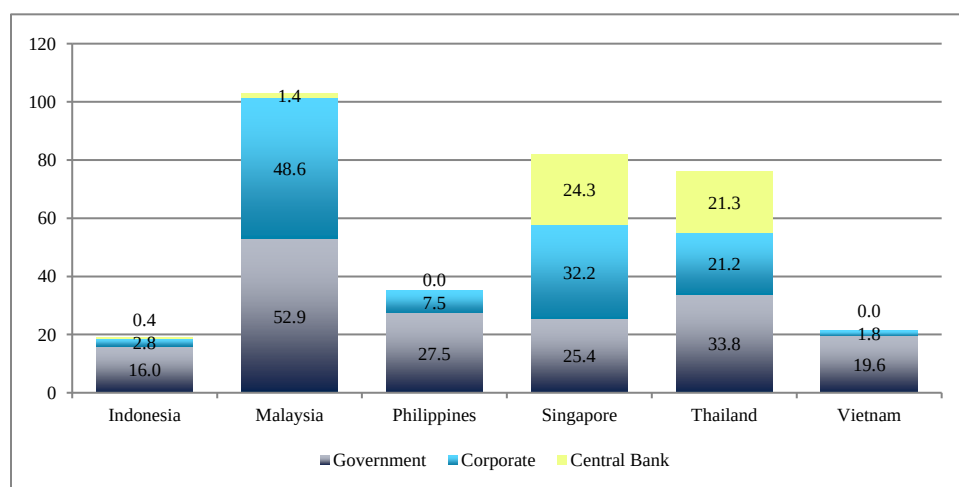
a/ Near-term (NT); Short-term (ST) = within one year; Medium-term (MT) = one to three years

I. CAPITAL MARKETS OVERVIEW

A. Debt

1. The Philippine debt market is small relative to regional peers and dominated by Government securities (GS). It accounts for 34 percent of GDP, with GS representing 79 percent of total debt outstanding (USD 101 billion³). Figure 1 provides the regional comparison of the local currency bonds markets (inclusive of government, central bank and corporate bond debt) in relation to GDP.

Figure 1. Local Currency Debt (percent of GDP)

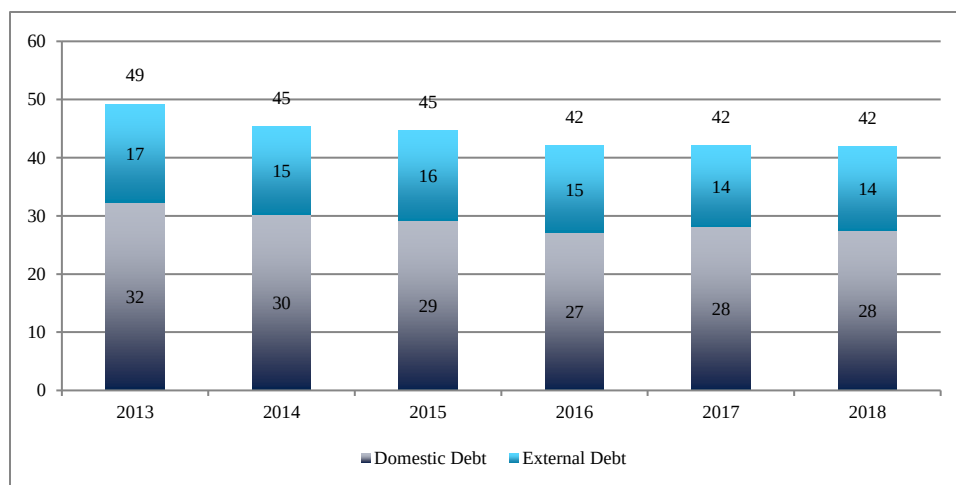


Source: AsianBondsOnline (all figures as of 2018)

2. Improving macroeconomic fundamentals and prudent debt management policies have enabled the Philippines to develop its fixed income market and create a resilient debt profile⁴. Since 2013, direct government debt has declined from 49 percent of GDP to approximately 42 percent in 2018, while the share of external debt has fallen from 17 percent of GDP to 14 percent over the same period. Currently, two-thirds of the debt is domestically denominated while the rest is in foreign currency and maturities have been extended to 10 years.

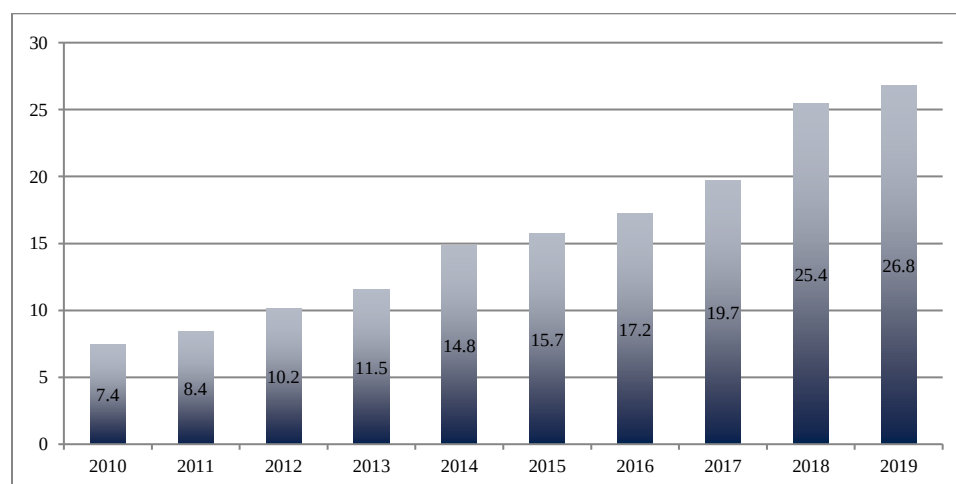
³ An exchange rate of USD 1 equals PHP 51.72 (BSP's official rate as on June 21, 2019) has been used throughout this Note.

⁴ Please see Annexure B for details on the debt maturity profile.

Figure 2. Government Outstanding Debt (percent of GDP)

Source: BTr, April 2019

3. The corporate debt market commenced in 2009 and has grown at a compound annual growth rate (CAGR) of 7 percent up till March 2019 to reach USD 27 billion. The market has experienced considerable growth over the period 2016-2018 in terms of issuance, as issuers responded to an increase in interest rates and prepared to diversify their funding sources which in some instances were faced with reaching banks' SBLs. The introduction of shelf registration and certain exemptions for Qualified Buyers by the SEC in 2015 as part of its Investment Rules and Regulation (IRR) pertaining to its SRC also reduced transaction costs and time to market for issuers.

Figure 3. Outstanding Corporate Bonds (USD Billion)

Source: PDS, May 2019

4. Corporate bonds are also relatively illiquid with turnover averaging around 4.5 percent of outstanding stock from 2012-2019⁵. This is reflective of the 'buy-and-hold' nature of the investor base and the lack of any substantive market-making support in secondary markets.

Table 1. Number of Issuers and Instruments (2008-May 2019)

Year	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	YTD 2019
No. of Issuers	5	14	14	16	17	21	31	35	40	44	50	49
No. of Bonds	6	25	27	32	46	59	88	100	115	127	164	173

Source: PDS, May 2019

Table 2. Trading in Corporate Debt Securities (PHP billions)

Year	2012	2013	2014	2015	2016	2017	2018	2019 (May)
Turnover	15	40	46	40	43	45	27	23
Outstanding Stock	526	597	768	814	891	1,020	1,315	1,385
% Turnover	3%	7%	6%	5%	5%	4%	2%	2%

Source: PDS, May 2019

5. The money markets are OTC markets and the fixed income securities and repo markets are organized markets. Money market transactions are generally agreed upon by market participants directly with one another or through brokers. However, the fixed income securities and repo markets are organized markets.

6. Apart from laws, rules and regulations from the SEC and the BSP that apply to the participation of supervised entities in these markets, there are SEC-authorized SROs that govern the markets. PDEX serves as the SRO of the fixed income securities market⁶ and MART serves as the SRO of the repo market. Market participants are expected to conduct their activities in accordance with established rules and regulations. The SEC has likewise licensed the BAP to serve as

⁵ Please refer to Annexure A for details.

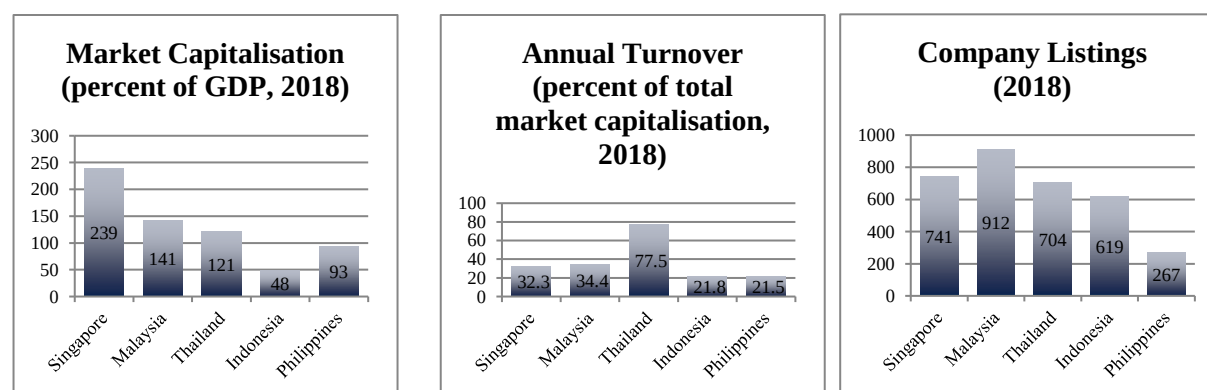
⁶ PDEX commenced operations in 2005 as a national secondary market for government and corporate debt securities. It is a for-profit enterprise owned by the BAP (29 percent), PSE (21 percent), Singapore Exchange (20 percent) and various other institutional investors. In 2008, the SEC granted PDEX authority to operate an OTC market and to function as an SRO under the framework of the OTC Rules.

the administrator of the GS benchmark. As such, the BAP is subject to the rules governing the administration of peso-denominated GS benchmarks.

B. Equity

7. The PSE is the sole equity exchange and largely trails regional peers in key metrics. It was created in 1992 by the merger of the Manila Stock Exchange and the Makati Stock Exchange. As of 2018, market capitalization was USD 312 billion, representing 93 percent of GDP, with 267 listed companies (a marginal improvement from 257 in 2013). The static nature of the PSE's key metrics is illustrated in a comparison with regional peers in Figure 4.

Figure 4. Comparison of Key Metrics with Regional Stock Exchanges



Source: World Federation of Exchanges, May 2019.

C. Key Non-Banking Financial Institutions

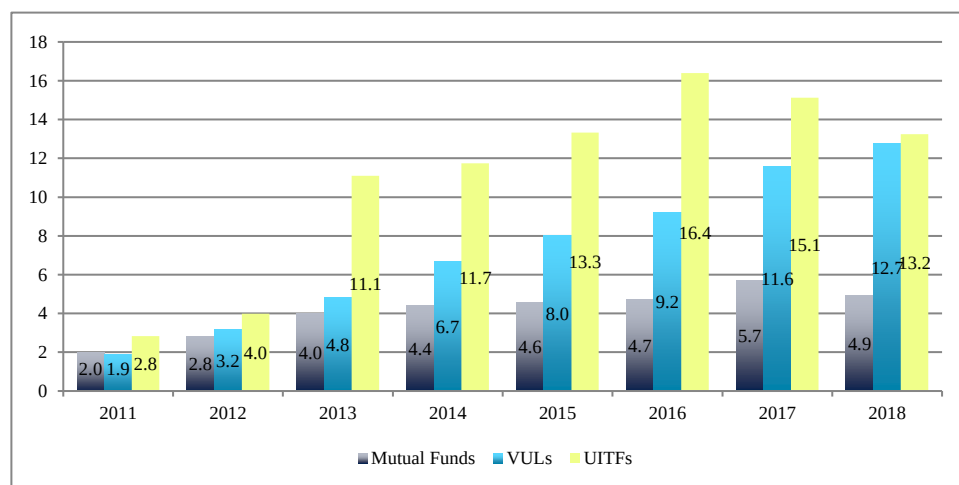
8. The mutual fund industry is one of the smallest in the ASEAN region with total assets under management (AUMs) at 2 percent of GDP. The industry is fragmented into 3 main parts comprising mutual funds that are offered by investment companies and regulated by the SEC; UITFs that are managed by the trust departments of banks and other trust entities regulated by the BSP, and VULs that are run by insurance companies and regulated by the IC⁷. Each regulator has its own requirements to establish, maintain and distribute the funds whilst the tax treatment for each collective investment scheme varies. This creates an opportunity for regulatory and tax arbitrage which the pending Collective Investment Scheme Law seeks to address by placing all schemes under a single regulator and unifying the tax treatment⁸.

⁷ A summary of the regulatory and tax regimes for each Scheme is provided in Annexure C.

⁸ The Law is pending approval by the Congress and Senate. It has been placed before parliament since 2010 but is expected to be passed this time.

9. As of 2017, there were 71 providers of mutual funds⁹, 39 UITF managers and 18 VUL vendors. The total assets under management from 2011-2018 are shown in Figure 5.

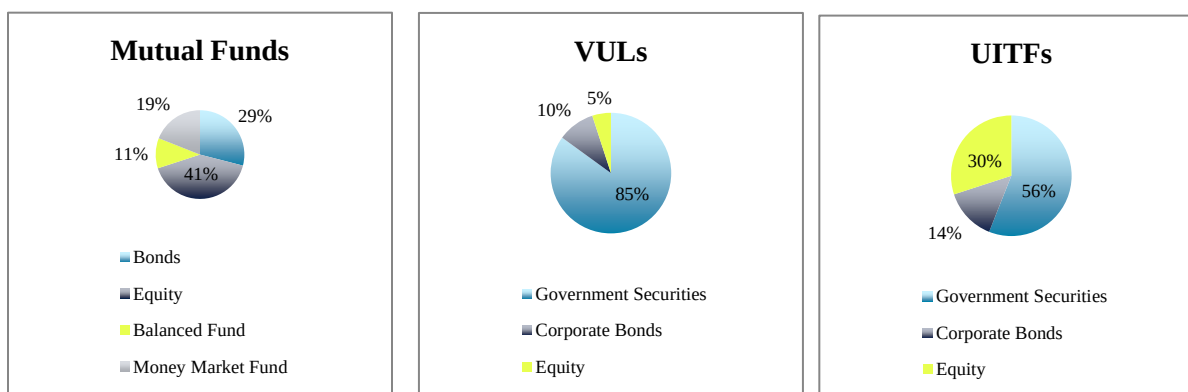
Figure 5. Assets Under Management of Collective Investment Schemes (USD Billions)



Source: Industry data.

10. Portfolio allocations are generally skewed towards fixed income investments. GS dominate fixed income investments at approximately 80 percent. Equities comprise just under a third of the portfolio with domestic stocks dominant. The sample asset compositions of the collective investment schemes are illustrated in Figure 6.

Figure 6. Asset Allocations of Collective Investment Schemes (2018)



Source: SEC data for mutual funds (as of August 2019); estimates for UITFS and VULs are based on leading vendor allocations

⁹ The number for mutual funds is as of October 2019.

11. The pension fund industry is dominated by two state owned funds, GSIS and SSS, with total assets equivalent to just 4 percent of GDP in 2016. The former focuses on employees in the public sector, whilst the latter deals with private sector employees. GSIS has 1.3 million active members inclusive of 0.5 million pensioners with USD 25 billion under management, whilst SSS has USD 12 billion. Both schemes are run on a defined benefit system and therefore remain underfunded. The funds are active investors in both the debt and equity markets with over 95 percent of their assets utilized for investments with approximately 40 percent allocation to fixed income assets (comprising 85 percent GS) and about a quarter invested in equities. The total assets of the pension fund industry in the Philippines were equivalent to 4 percent of GDP in 2016 and are only larger than Indonesia when compared to regional peers. Thailand which is the next highest ranked country, has aggregate pension assets at 6.5 percent of GDP, indicating the potential growth opportunity for the Philippines.

Table 3. Size of Assets Maintained by Non-Banking Financial Institutions (percent of GDP)

Country	Mutual Funds	Pension Funds	Insurance Companies
Singapore	669	31	45
Malaysia	29	60	20
Philippines	2	4	8
Indonesia	N/A	2	4*

*2015 figure. All other figures are as of 2016.

Source: Global Financial Development Database, World Bank.

12. Insurance penetration (total premium to GDP) was at just 2 percent in 2016. This represents one of the lowest ratios in the region with only Indonesia below at 1.4 percent. The next highest country is Malaysia at 4 percent and the regional leader is Singapore at 7 percent as detailed in Table 4.

Table 4. Insurance Penetration (percent of GDP)

Country	Life	Non-Life
Singapore	6	1
Thailand	4	1
Malaysia	3	1
Philippines	1	0.5
Indonesia	1	0.4

Source: Global Financial Sector Database, World Bank (all figures as of 2016)

II. MACROECONOMIC OVERVIEW

13. Capital markets have not grown in step with strong GDP growth and sound macroeconomic fundamentals. Capital market funding will be needed to support the growing economy and infrastructure spend. GDP growth was at 6.2 percent in 2018, down from 6.7 percent in 2017 as global headwinds in relation to trade and manufacturing caused a slowing down of net exports. Import growth outpaced exports driven by robust public investment activity. Private consumption growth experienced its slowest pace since 2014, affected by high inflation, weaker consumer sentiment and a reduction in remittances from Overseas Filipino Workers (OFWs). However, public consumption growth accelerated by double digits for the first time since 2012 due to the government's expansionary fiscal stance, characterized by its 'Build, Build, Build' policy.

14. An increase in public investment spending was the principal driver of economic growth in 2018. This in turn led to a surge in imports driven by capital investment goods, raw materials and intermediate goods. Exports, particularly in the services sector which accounts for 56 percent of GDP, also fell due to a softening in global growth and trade.

15. Inflation rose steadily throughout most of 2018, prompting the BSP to tighten its key policy rate. Headline inflation rate rose from 2.9 percent, year-on-year, in 2017 to 5.2 percent in 2018 driven by rising food, energy, and transport prices and the impact of natural disasters. The rise in inflation caused the BSP to tighten its key policy rate by 175 basis points to 4.75 percent in November 2018. This directly impacted secondary market trading in GS as banks pulled back from trading and marking-to-market legacy portfolios of sovereign debt¹⁰.

16. The fiscal deficit exceeded its programmed target and reached 3.2 percent of GDP in 2018, as the government increased public spending in line with its expansionary fiscal policy. In 2018, the country's public expenditure effort reached its highest level since 1983. A significant increase in spending on infrastructure and personnel services was the primary driver of the overall acceleration in public spending. Despite robust revenue growth, driven partially by tax policy and administration reforms, which saw the tax ratio reach 14.7 percent of GDP in 2018, expenditures outpaced revenues. The financing of persistent fiscal deficits will require sustained issuance of GS.

17. The World Bank baseline forecast projects real GDP growth at 6.4 percent in 2019 and 6.5 percent in both 2020 and 2021. The country's growth outlook remains strong, and economic growth is expected to recover in 2019, driven by higher private consumption amid a projected decline in inflation from lower expected oil prices. The growth forecast also assumes further ramping up of public spending causing the fiscal deficit to sustain and financed primarily by domestic borrowing.

¹⁰ Please refer to Section IIIB 23.

The Philippine government remains committed to accelerating investments in both public infrastructure and human capital development, reflected in the PHP 910 billion allocation for infrastructure development in a Php3.76 trillion budget for 2019. The sheer quantum of expected infrastructure spend will increase reliance on capital markets and accentuate the need for their continued development. Growth in the services and industry sectors is expected to be supported by strong domestic demand, while a weak recovery is anticipated for the agriculture sector. A growing middle class and a steady flow of remittances from OFWs are expected to fuel the demand for real estate and financial services which should create a continuing need for expansion capital in these sectors.

III. GOVERNMENT DEBT

18. Efforts in recent years have been focused on developing the money and GS markets and have been effective in setting appropriate pricing benchmarks for corporate securities.

Significant progress has been achieved from 2016 to date in developing the short-end of the yield curve through increased issuance, initiating a predictable and transparent issuance policy, enhancing the primary dealer network and adopting a new valuation methodology and trading platform for benchmark bonds. Emphasis has also been placed on stimulating secondary markets by developing repo markets for GS. The new initiatives undertaken represent a prudent and well-structured approach towards developing capital markets which should be continued.

A. Money Markets

19. Several significant measures have been taken from 2016-2018 to improve the functioning of money markets and provide more reliable pricing benchmarks at the short end of the yield curve. To better manage liquidity and provide more consistent pricing benchmarks, the BSP shifted to the interest rate corridor (IRC) in June 2016¹¹. Post the IRC's implementation, there is an overnight lending rate, an overnight deposit facility, 2 auction-based term deposit facilities, and an overnight reverse repo facility (which is aligned with the BSP's policy rate)¹². Previously, Special Deposit Accounts and foreign currency swaps were used as the primary monetary policy instruments to withdraw excess liquidity from the banking system. After the IRC's introduction, money market yields such as T-bill rates and the interbank call loan rates have entered the corridor and moved in line with changes in

¹¹ The IRC consists of a rate at which the central bank lends to banks (typically an overnight lending rate) and a rate at which it takes deposits from them (deposit rate). Usually, the lending rate will be above the central bank's target/policy rate, forming an upper bound for short-term market rates, and the deposit rate will be below the central bank's rate, setting the lower bound – Revised Framework for Monetary Operations Under the BSP Interest Rate Corridor (IRC) System, July 2016.

¹² The reverse repo rate is also now correlated with the BSP's overnight and term deposit rates, the interbank call loan and with the short-end of the yield curve.

the BSP's key policy rates. Prior to the IRC's implementation, T-bill rates traded below the corridor's floor and interbank loans were priced at the floor of the corridor due to the high level of excess liquidity in the system. The T-bill yield curve rates are used as benchmark for peso short-term retail and wholesale loans¹³.

B. Government Securities

20. All GS are issued by the BTr on behalf of the government. There are weekly auctions of treasury bills and fortnightly auctions for treasury bonds, with amounts in each auction approximately totaling USD 290 million (PHP 15 billion) and USD 387 million (PHP 20 billion), respectively. Auctions are conducted on a Dutch auction system for bonds while English auctions are used for the issuance of bills and the reissuance of bonds¹⁴. A summary of the type of instruments issued by the BTr is provided in Table 5.

Table 5. Types of Government Securities

Instrument Type	Structure	Rate Type	Payout Frequency	Tenor
Treasury Bills	Discount	Fixed Rate	At maturity	91, 182, 364 days
Treasury Bonds	Coupon	Fixed Rate	Semi-annual	3, 5, 7, 10 and 20 years
	Zero Coupon	Fixed Rate	At maturity	5, 7 and 10 years
Retail Treasury Bonds	Coupon	Fixed Rate	Quarterly	3, 4, 5, 7, 10 and 15 years
Multi-Currency Retail Bonds*	Denominated in USD or Euro	Fixed Rate	Quarterly	3 and 5 years

Source: BTr, April 2019.

* Issued onshore but targeting OFWs and their qualified beneficiaries.

21. As of April 2019, bonds comprised 88% of total issuance, aggregating USD 89 billion (PHP 4.6 trillion) whilst bills represent only USD 12 billion (PHP 622 billion). Consequently, the long-end of the yield curve has benefited from sustained issuance across a range of tenors (as specified in Table 5) and historically provided more reliable pricing benchmarks for corporate debt of equivalent tenor. The short-end has until recently suffered from greater pricing volatility with wide bid-offer spreads and a number of initiatives have been launched to address these issues¹⁵.

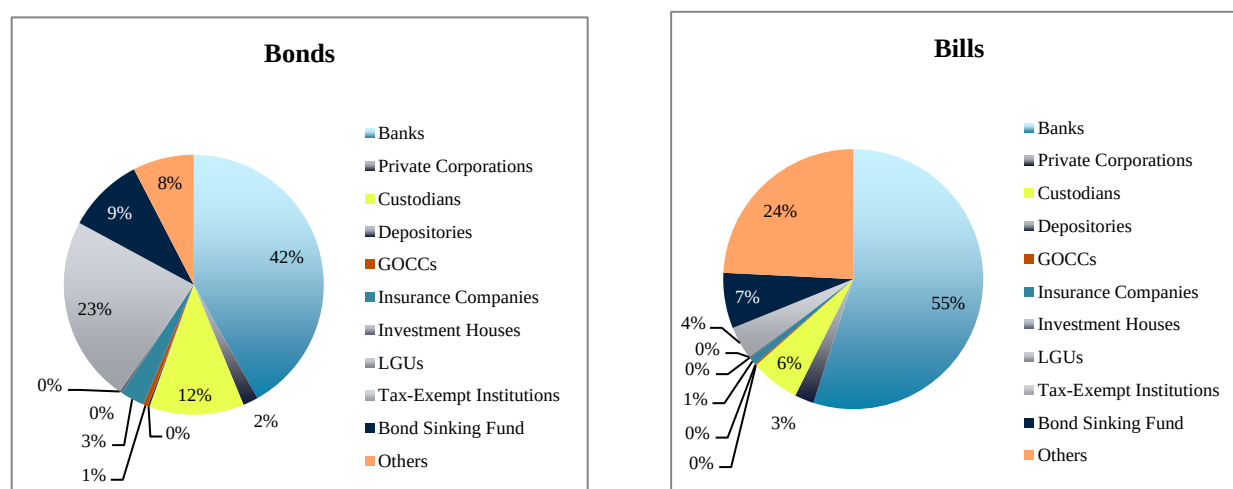
¹³ PHIREF may also be utilised for providing financing.

¹⁴ A Dutch auction is a public offering auction structure in which the price of the offering is set after taking in all bids to determine the highest price (lowest yield) at which the GS can be sold. It is also known as a descending price auction as the price may be lowered to meet the market clearing level. An English auction is an ascending price auction where the BSP sets a starting price and the highest price bid sets the market clearing level.

¹⁵ Please see paragraph 27 for more detail.

22. Banks are the largest holders of GS and the market can be characterized as ‘buy and hold’ with little foreign participation. Banks hold 42 percent of bonds, tax-exempt institutions¹⁶ another 23 percent, custodians (inclusive of UITFS, VULS and mutual funds) 12 percent and the BSF¹⁷ 10 percent. Banks also hold 55 percent of bills, various funds managed by the Bangko Sentral ng Pilipinas (BSP, the Central Bank of the Philippines) another 24 percent, and the BSF and custodians account for 7 and 6 percent, respectively. Effectively, 31 percent of T-bills remain with the BSP and its related entities which significantly impacts the circulation of these instruments in secondary markets. Most GS investors are ‘buy-and-hold’. Foreign investors’ participation is minimal due to cumbersome procedures for tax treaty-based relief¹⁸. While such an investor base does not impact market liquidity favorably, it has helped reduce volatility during periods of global market turbulence.

Figure 7. Investor Holdings in Government Securities



Source: BTr, June 2019.

23. Over the period 2013-2018, secondary market liquidity experienced a significant decline. By 2018, the trading volumes had decreased to USD 38 billion (PHP 1.9 trillion), equivalent to 34 percent of the trading value in 2013. Since 99 percent of trading volumes are accounted for by GS, the decline was based upon a ‘buy-and-hold’ stance adopted by investors for government debt. As the largest holders of GS, banks were reluctant in making two-way prices in a rising interest rate environment that persisted till the end of 2018 without instruments to hedge risk. In addition, 4 interest rate hikes by the BSP in 2018 dampened dealer (bank) activity in GS as trading would have

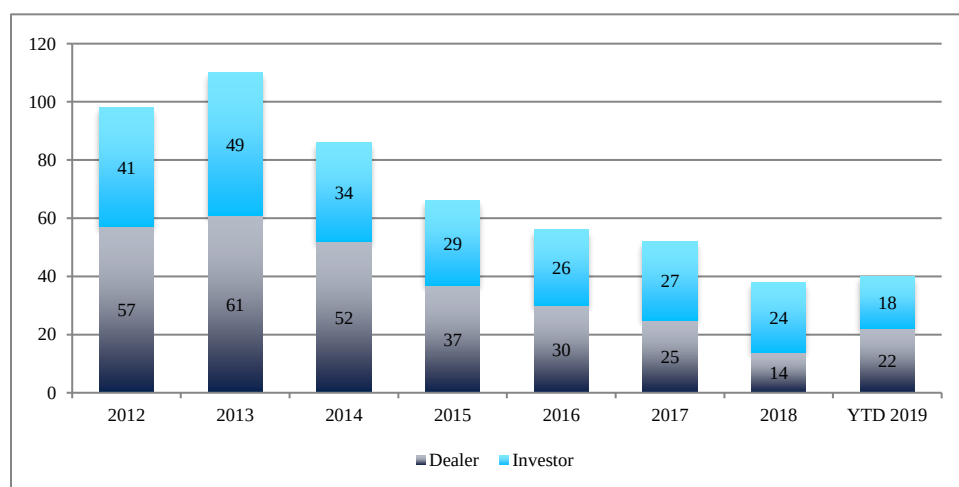
¹⁶ This comprises of GOCCs such as GSIS and SSS, PDIC, PhilHealth and HDMF.

¹⁷ The BSF is a special fund wherein the national treasury sets aside money on a regular basis in order to repay bonds that will come due in the future. It is only used to service domestic debt issuances.

¹⁸ Recent improvements in the clearing and settlement system that now distinguish between tax exempt and tax liable investors may increase foreign participation. Please see paragraphs 25 and 26.

resulted in significant capital losses on legacy bond inventories. The interest rate environment has trended downwards in 2019 which has caused dealers to become more active. This combined with large GS issues in the first quarter and a sovereign ratings upgrade has revived trading volumes.

Figure 8. Annual Traded Volumes of GS and Corporate Bonds (USD Billions)



Source: PDS, May 2019

24. Trading is concentrated in the largest bonds and occurs across benchmark and non-benchmark securities¹⁹. In 2019, 71 percent of all trades occurred in 10 bonds that collectively represent 24 percent of the outstanding stock. Their average turnover ratio was 84 percent, compared to 28 percent for GS as a whole²⁰.

25. The settlement of market trades for GS is carried out through the NRoSS system that commenced operations in August 2018. All GS are held and recorded in the electronic registry of the NRoSS system that is operated by the BTr. The NRoSS System is interfaced with the BSP's PhilPaSS via RTGS. Trading participants are required to designate an NRoSS Account and a demand deposit account with the BSP to settle all trade transactions. The trading platform, which is provided by Bloomberg, is connected to the NRoSS. Once details have been successfully matched by the system, the cash leg of the trades are settled through the participants' deposit accounts with the BSP while the securities leg is settled through the NRoSS. However, there may be potential issues to address in the interface between NRoSS and the secondary market trading of T-bills and other GS and in their seamless integration with the BSP's operations.

26. The above-mentioned system is also now able to differentiate between tax-exempt and tax liable investors. This allows entities with differing tax status to invest directly in GS and to trade

¹⁹ BSP defines 'benchmarks' as all GS falling within benchmark tenor ranges.

²⁰ Please refer to Annexure A for details.

with each other. This attribute of the system should also enable greater trading amongst domestic investors to occur across different tax categories and increase foreign participation in the GS market as current processes to seek tax treaty relief are protracted.

27. There have been concerted efforts to broaden and deepen the GS market. These initiatives have focused on:

- **Increasing the Issuance of T-bills.** As of April 2019, T-bills only comprise 12 percent of total domestic GS stock, which has a duration of 10 years. While the supply of T-bills has increased, almost a third of outstanding stock is held by funds managed by the BSP and the BSF. Consequently, there is still considerable room to raise issuance, reducing duration slightly without incurring any significant refinancing risk. A sufficient supply of T-bills will further develop the short-end of the yield curve and increase the correlation between T-bill yields and key BSP policy rates, strengthening the monetary transmission mechanism. The increased supply will also provide enhanced benchmarks for further sovereign and corporate issuance.
- **Issuance of the BSP's Own Instruments.** BSP's new charter enables it to issue its own domestic debt instruments. This will add to the supply of short-dated instruments, provide further collateral to develop the nascent repo markets and enable the BSP to more effectively manage liquidity. While an important step in the development of money markets in the Philippines, this will require close co-ordination between the BSP and BTr to ensure that the size, timing, duration and type of instruments adhere to national borrowing targets and any competition for investors is avoided.
- **Predictable and Transparent Issuance Policy.** A publicized and transparent debt issuance program placed within the context of long-term borrowing needs and the concomitant strategy will reduce uncertainty in both primary and secondary markets. In January 2018, the BTr adopted a new issuance strategy and it is important that this is now closely coordinated with the BSP's expected issuance plan. The combined issuance strategy should be disclosed to the market as part of the MTDS.
- **Pricing of Benchmark GS.** In October 2018, the traditional system of bond price referencing that based reference rates for all bonds on the average rates of eight designated benchmark tenors instead of individual traded bond prices was eschewed in favor of a Bloomberg-based valuation model (BVAL) and trading platform. Transitioning to an improved valuation methodology has enhanced the pricing of benchmark issues and smoothened the yield curve appreciably.
- **Primary Dealer Framework.** A network of primary dealers comprising 35 financial institutions is in place and is supported by 10 banks that act as designated market makers. In

November 2017, the Enhanced GSEDs Program was launched to further stimulate secondary markets. Under the enhanced framework, current GSEDs are evaluated based on their primary and secondary market GS performance. This evaluation is used to select the 10 market makers that have distinct privileges and obligations in the GS markets.

- **Creating a Repo Market.** In November 2017, a formal repo market was launched to support secondary market liquidity and to bolster the yield curve by creating more pricing references for the short-end. There are currently 28 participants (25 dealers and 3 brokers) who are all required to sign the Global Master Repurchase Agreement (GMRA) on a bilateral basis. The market is limited to banks and has witnessed small volumes since inception, totaling USD 3.9 billion from 2017 to April 2019 which represents 4 percent of the total outstanding stock of GS.
- **Developing a Derivatives Market.** In the first stage of developing capital markets the onus has been on addressing the structural issues to create better functioning primary and secondary markets. Development of derivatives markets should follow when pricing benchmarks throughout the yield curve have become well established and secondary market trading intensifies. In particular, it is important for the repo markets to develop with active short-selling to grow secondary markets which will create more representative pricing benchmarks. Once trading volumes grow, derivative risk hedging instruments such as interest rate and credit default swaps will assume greater significance²¹. In the interim, the focus should remain on deepening primary issuance markets and stimulating secondary markets through the above-mentioned measures

C. Recommendations

28. The new initiatives undertaken represent a prudent and well-structured approach towards developing capital markets and should be continued. Given the timing of the initiatives' introduction, it would be premature to analyze their effects on the market. However, the following measures should be considered to supplement the work that has already been done:

- **Enhancing the Repo Program.** There are 4 primary issues that continue to affect the repo market:
 - **Firstly, documentation in relation to the GMRA where foreign banks would prefer the agreement to be governed by English rather than Philippine law.** This issue should

²¹ Efforts to develop an OIS market have been made but progress has been slow due to difficulties in agreeing a suitable floating rate benchmark.

eventually be resolved by the market since 25 banks have already signed on and the rest will invariably follow.

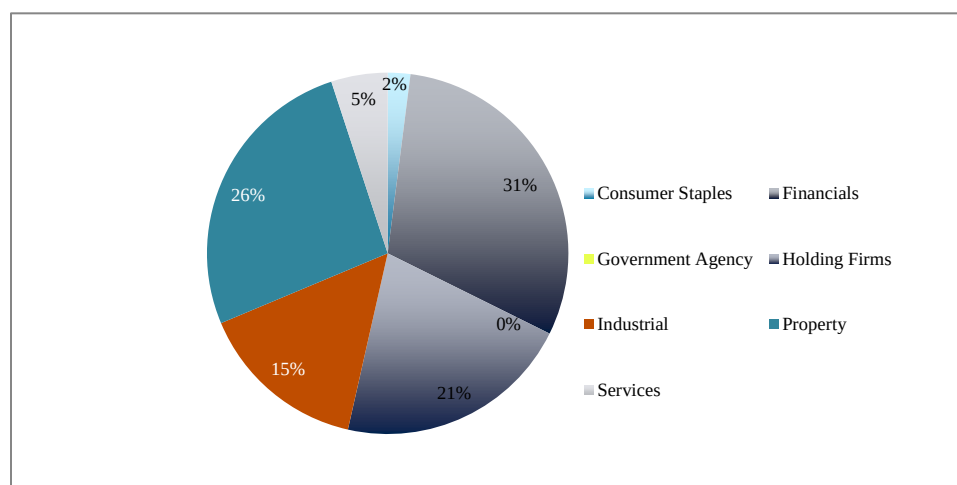
- **Secondly, the repo market should be broadened to include non-bank financial institutions that may not be GSEDs as they are significant holders of GS and increasingly have become more active than dealers in secondary markets.** As Figure 8 illustrates, non-bank investors' trading volumes have exceeded those of dealers in 2017-18. Therefore, once the GS repo market has developed, it would be natural to expand this to also include highly rated bonds with an appropriate haircut from corporates, financial institutions and other issuers.
- **Thirdly, the current Bloomberg-based trading system is not anonymous.** While the identity of a party looking to repo securities (short on securities) may initially be known only to the counterpart it approaches, contacting multiple counterparts will effectively disclose its position to the entire market. This will obviously impact the repo price and act as a potential deterrent for market entrants. Therefore, the current trading system should anonymously match positions as is the practice with international bond clearing systems such as Clearstream and Euroclear.
- **Fourthly, the BSP has restricted leverage and the rehypothecation of GS due to macro-prudential concerns.** This has constrained the utility of the repo market to covering security shortfalls for dealers rather than enabling it to be used effectively for liquidity management and meeting funding requirements. Consequently, the BSP could consider the adoption of a more accommodative policy to enable the development of the repo market.
- **Buyback and Exchanges of GS.** The BTr can continue benchmark building activities through the use of buybacks and exchanges for GS that are the most widely traded. As was explained in paragraph 23, 10 issues account for 71 percent of secondary market trading. The BTr could tap these issues to increase supply while market makers could continuously switch in and out of issues depending on their tradability. This mechanism would ensure that untradeable issues would be removed from the market and replaced with more liquid instruments. It may also allow dealers to swap illiquid issues with more liquid instruments on a scheduled basis.

IV. CORPORATE DEBT MARKET

29. The corporate bond market is dominated by a limited number of issuers that are associated with large family groups. Consequently, the number of issuers has risen from 5 in 2008 at the market's inception to 49 by 2019. The number of listed issues has also experienced moderate growth, expanding from 6 in 2008 to 173 in 2019. More than three quarters of issuance is driven by

banks, real estate companies and holding companies while all issuers are connected to a handful of business groups. Typical issue sizes in local currency range PHP 5-15 billion with average tenors of 5 to 7 years. In the USD market, which targets international investors with most issues listed offshore, usual deal sizes are between 300-600 million. Maturities range across 5, 7 and 10 years with preferred tenors of around 5 years. The concentration of issuers has caused a similarity in the size, tenor and structure of issues although there have been some market innovations such as a recent corporate hybrid issuance of a perpetual bond.

Figure 9. Outstanding Corporate Bonds by Issuer Type (May 2019)



Source: PDS, May 2019

30. The trading and settlement of trades occurs through PDTC, a wholly owned subsidiary of PDEX. The delivery of securities and payment of cash is on a delivery versus payment (DvP) format. Trading participants are required to designate a depository account with PDTC and a deposit account with the BSP to settle all transactions. Once the trading system successfully matches trade details, the cash leg of the trade is settled through the participants' account with the BSP while the securities leg is settled through the depository accounts maintained with the PDTC. All trades are bilateral transactions and there is no central clearing counterparty.

31. While the PDEX is licensed to operate as an exchange for fixed income trading, the Philippine debt market functions largely as a bilateral OTC market. Consequently, the PDEX derives its significance primarily from its activities as a SRO for the fixed income market whereby it conducts market surveillance and ensures compliance with market governance rules.

A. Supply Side Issues

32. Some of the supply-side issues that affect corporate bond issuance are structural and related to the conglomerate control of the economy that restricts the number of firms that are able to come to market. The ownership of the country's largest banks by these family businesses is also a source of cheap liquidity that prevents greater issuance. In addition, businesses tend to be under-levered, while the service-oriented structure of the economy is not highly capital-intensive. There are also specific issues in relation to a penal taxation regime and a protracted regulatory approval process that limit supply and increase transaction costs. All the above-mentioned points are further elaborated in paragraphs 33-41.

33. Easy access to bank financing for prospective issuers. The dominance of business groups in the economy who are also the most frequent issuers, provides most of these entities with access to cheap bank financing. 7 out of the 10 largest banks (that includes two state-owned banks) are owned by conglomerates and this, combined with the relatively liquid balance sheet of banks, provides a ready source of competitive funding for corporates. The BSP's decision to lower the statutory cash reserve requirement from the current 17 to 16 percent by July 2020 will further increase banks' liquidity. SBLs are also set at 25 percent of a bank's net worth to an entity²². For the large banks, this translates into significant credit exposure limits for each subsidiary of a business group as lending to such entities is not consolidated unless the holding company also becomes a borrower.

34. Despite the large number of banks, credit to the private sector is low compared to regional peers as per Table 6. This may be due to corporates maintaining low levels of leverage, preferring to finance most of their working capital needs through internal sources of funds.

Table 6. Private Sector Credit (percent of GDP)

Country	Private Sector Credit (% of GDP)
Singapore	129
Malaysia	120
Thailand	13
Philippines	41
Indonesia	32

Source: Global Financial Development Database, World Bank (all figures as of 2016)

35. The services-driven structure of the economy (which accounts for 56 percent of GDP) may not be as capital intensive as that of a more manufacturing driven economy. While industry

²² BSP's Circular Number 425, Series of 2004.

accounts for 35 percent and agriculture for 9 percent of GDP²³, the largest growth has been in services, particularly in relation to BPO.

36. The current taxation regime acts as a significant disincentive for increased issuance. Due to historical issues with tax collection, the country remains reliant on collecting a wide array of transaction taxes, calculated on gross rather than net amounts. The application of these taxes across investment products results in pricing distortions and significantly increases transaction costs. The current regime also leads to tax arbitrage and causes an inequitable distribution of the tax burden. In response, the government has proposed a rationalization of the tax regime in relation to the financial sector as part of the fourth package of reforms under the TRAIN law. There is, however, a risk that in light of increased public investment spending that has resulted in a higher than targeted fiscal deficit and the desire to achieve tax neutrality, many transaction taxes may not be repealed and may continue in diminished form.

37. In relation to all debt instruments, regardless of issuer, there is currently a final withholding tax (FWT) on interest income and a documentary stamp tax (DST) on initial issuance. The FWT is 20 percent on interest income for domestic institutional investors, which increases to 30 percent for foreign corporations. The tax reform package recommends that this be reduced to 15 percent for all institutions, regardless of domicile. In addition, there is a DST of 0.50 percent on the initial issuance of debt instruments. It has been proposed that this may be increased to 0.75 percent to unify it with DST applicable to equity issuances. In addition, debt instruments are also subject to a 0.1 percent transaction tax on trading while debt instruments of greater than 5 years remain exempt from capital gains tax. The new tax regime proposes to maintain the tax-exempt status of tradable debt instruments but imposes a 15 percent final tax on non-traded instruments. The estimate of potential tax collected from debt instruments is presented below²⁴:

Table 7. Tax Collection from Debt Instruments (PHP billions)

Year	FWT on GS Interest Income	DST	Total
2012	35.22	25.66	60.88
2013	34.03	29.51	63.54
2014	33.62	26.80	60.42
2015	33.31	35.06	68.37
2016	31.40	41.63	73.03
2017	31.70	42.50	74.20
Total	199.28	202.60	400.44

²³ Department of Trade and Industry, 2018.

²⁴ Reproduced from a 'Review of the Taxation of Philippine Debt Instruments', NRTC Tax Review Journal, May-June 2018.

38. A comparison with the tax regimes of regional peers reveals a significant disincentive for the Philippines. Indonesia imposes a FWT on interest income of 15 percent for residents and 20 percent for non-residents. There is also SD (DST) on the transfer of securities with a nominal value of IDR1 million (Php3,708) or below of IDR3,000 (Php11), while transfer of debt securities with more than IDR1 million is subject to a SD of IDR6,000 (Php22). In Singapore, interest income from debt securities is not taxable unless it is derived from a partnership in Singapore or from the carrying on of a trade in debt securities. Interest income paid to non-residents is subject to a 15 percent FWT. However, Singapore government's securities issued between February 1998 and December 2018 are exempt from FWT. In addition, no SD is imposed on debt securities transactions. , Thailand has a FWT of 15 percent on interest income for resident investors and imposes no SD on listed debt securities. Non-listed securities attract SD of THB1.00 (Php1.71) for every THB1,000 (Php1,710) of the actual trade value. In Malaysia, all debt securities approved and lodged with the Securities Commission are exempt from SD.²⁵

39. The debt tax shield's effects for corporate issuance are also diluted in the Philippines. Its calculation is based upon a netting of interest income and expenses with the final number tax deductible up to a defined extent. In order to optimize the effects of a tax shield and incentivize debt issuance, consideration could be given to making interest payments on debt fully tax deductible.

40. In general, the regulatory approval process is identical for the issuance of debt and equity. There is a protracted registration process for bonds with the SEC. Although exemptions for registration were introduced in the SRC's IRR²⁶ in 2015, the process for eligible securities can take up to 45 days if there are no material discrepancies in the information provided. Should there be issues, the processing time of 45 days can be reset pending the receipt of new information. The entire 'door-to-door' execution period for bond issuance can take up to 3 months, regardless of whether the issuer has previously gone to market. In order to expedite approval, the SEC introduced shelf registrations for 3 years in the IRR where total issuance amounts can be approved and then issued in tranches over the defined period²⁷.

41. Costs related to issuance can amount to circa 1 percent of the total issue size. These include registration fees, underwriting commissions, banks' arrangement fees, legal counsel, credit rating and various agency fees. These expenses in combination with the taxation regime and time taken for

²⁵ *ibid.*

²⁶ Issuances by banks and multilateral organizations and private placements (as defined in the IRR) are exempt from registration. The complete details are contained in Section 9.1 of the IRR.

²⁷ Section 8.1.2 of the IRR.

regulatory approval constitute high transaction costs that create considerable barriers to entry for potential issuers.

B. Demand Side Issues

42. The investor base for recent issues of corporate bonds has been focused on retail bank customers of the underwriting banks or investment houses. Approximately 60-70 percent of issues have been directly placed with these investors recently inclusive of the larger bank issues of PHP 25-30 billion with typical face values of PHP 50,000. The balance of the issues has been primarily placed with institutional investors comprising asset management (UITFS, VULS and mutual funds) and pension funds. The concentration of issuers may have resulted in both banks and funds reaching their per party exposure limits and turned the focus towards a more retail investor base.

43. Increased focus on retail investors could limit the long-term capacity of domestic markets in terms of size and tenor as bonds are a wholesale rather than retail product²⁸. This distribution is also heavily skewed towards ‘buy-and-hold’ investors which will not further the development of active secondary markets. In addition, direct selling of this nature, while increasing financial literacy and diversifying the investor base, potentially raises portfolio concentration risk for investors. It is important that suitability requirements are in place for bank customers. Consequently, it is imperative that the BSP ensure banks’ compliance with all appropriate disclosure, suitability and investor protection requirements.

44. Foreign participation in debt markets remains minimal due to cumbersome processes to seek tax-treaty based relief on FWT. There is also currently no system for a one-time registration of investors, either domestic or foreign, with the BIR and the PDTC. The latter’s registration system also requires new accounts to be opened for each new bond issuance as the securities are registered directly in the beneficiary’s name and traded bilaterally.²⁹

45. Potential plans for Landbank to acquire 49 percent of the PDEX³⁰. The acquisition is being considered to assume control of PDTC that functions as the central depository for both debt and equity securities and to allay potential concerns over the robustness of its clearing system. However, this may result in a potential conflict of interest whereby a leading market participant (Landbank, which holds almost 10 percent of outstanding stock in GS and is a leading player in secondary markets) assumes control of the fixed income market’s SRO. The ability of Landbank to

²⁸ Internationally, the largest bond investors comprise ‘real-money’ funds which pool such securities and then provide access to retail investors.

²⁹ For equities trading, the securities are held in the broker’s account and there is no need to re-register investors. The PDTC is working on a new registration system that will enable brokers and dealers to maintain segregated sub-accounts in their clients’ names that will eliminate the need to keep re-registering investors.

³⁰ The prospective acquisition is still in an exploratory stage with no formal agreements concluded.

add value in the operations of an exchange also remains questionable and the transaction, if approved, would not be consistent with the SEC's rules that limit single party ownership of exchanges to 5 percent.

C. Recommendations

46. The following measures can be considered to address the supply and demand-side issues that have been enumerated above. The recommendations encompass all the key components of capital markets in relation to regulation, market-based reforms, issuers, investors and underwriters:

- **Rationalize the Existing Taxation Regime.** The reliance on transaction taxes needs to be reduced to achieve competitiveness in comparison to regional peers. Ideally, all such taxes should be removed or minimized to the extent possible and the introduction of any new taxes resisted. The current regime is distorting pricing in capital markets, deterring issuance and compares unfavourably with regional peers³¹. An impact study should be commissioned to ascertain the effect such taxes have on capital market development. On the supply-side, this will require a determination of taxation's effects in increasing the cost of capital and impacting supply in terms of primary market issuance as transaction costs are raised through the imposition of DST. On the demand-side, the effect of taxation on reducing investor returns through the imposition of FWT will require to be assessed. The net effect of both supply and demand-side factors could be negative and must then be measured against the potential increase in revenue. Such an exercise requires both issuers and investors to be engaged and the development of an econometric model that can identify the effects of raising taxes against the potential contraction of primary and secondary capital markets. At certain levels of taxation, issuers will find alternative means of finance while investors may prefer to invest away from bonds.

Currently, the analysis on the effects of taxation follows a simple averaging approach that selects high and low volume points in the issuance and trading of instruments to estimate potential revenue from a removal or change in applicable taxes. This fails to account for the complexity of capital markets and the many variables that may affect volumes in both primary and secondary markets. Finally, an assessment will also be required to be made that if businesses are provided with greater access to expansion capital, their revenues may rise, increasing corporate income taxes that may offset any reductions in transaction taxes.

- **Streamline the Registration Process.** The principle that should inform the process is to 'register the instrument and not the issuer'. From current requirements, it appears that an instrument

³¹ Please see paragraph 38.

registration application provides an opportunity to do surveillance on the issuer which results in excessive documentation requirements. For companies already registered with the SEC and listed, much of the documentation that is requested will already be available. If the focus is registration of the instrument then a form providing issuance details and certifications that confirm good standing of the issuer should suffice along with references to other filed reports. A 'no-review' policy may also be considered for companies that are current in filing their reports and have not been subject to sanctions for misconduct. The onus should be on more effective utilization of the SRO's resources and improved co-ordination between the regulator and the SRO to minimize the current duplication of tasks.

- **Review Bond Issuance Regulation.** All current regulation is reverse engineered from rules pertaining to equity issuance. It would be useful for the SEC to tailor its regulation specifically for bond issuance. Specifically, shelf registrations should be utilized for equity issuance while MTN programs should be employed for bond issuance. The terms of approval for MTNs need not change but the tenors can be expanded to 5 years given the typical tenors of most corporate debt issuances. Since bond issuances also have potentially larger sizes than equities, registration fees for MTNs may also be reviewed. In addition, consideration could be given to introducing other fast-track public offer initiatives that provide automatic approvals and initiating hybrid offer regimes that target QIBs.
- **Allow Taps of Existing Issues.** The current practice of providing approvals for debt issuances with greenshoe options should be discontinued as this is a market stabilization technique used for equity issues. In relation to debt, permission to increase the issue size by a defined amount and within a specified period could be made part of the initial approval process. The ability to increase the size of an existing issue under the terms and conditions of the original issue but at the prevailing market price could result in the issue being priced at a premium or discount in relation to its coupon payments. Internationally, this is a technique utilized by issuers to access the market when there are particular windows of opportunity usually caused by favorable interest rate movements or investor demand. Taps allow issuers to go to market with an updated prospectus but with minimal new documentation. They therefore reduce transaction costs for issuers that may not have MTN programs in place and benefit investors with increased supply of issues that are in demand, deepening both primary and secondary markets. The criteria for granting an approval to tap existing issues should be decided by the SEC according to strict criteria that include the previous meeting of regulatory requirements. Internationally, the current practice is to allow taps in the initial regulatory approval for an issue as the technique is based upon prompt access to the market which may be delayed if further permissions were required at

the time of execution, The SEC may require a notification from the issuer to keep it informed of the tap's execution.

- **Increasing the Diversity of Issuers.** The ability to introduce new issuers to the market is a structural issue related to the close conglomerate control of the economy. A potential solution could be in enabling some of the better managed local governments to access the market. Funding to local governments is currently provided by the state-owned banks, and these lines could be used as letters of credit to enhance their credit. Additionally, loans provided by local governments could also be collateralized as part of the issuance to create asset backed 'covered bonds' that provide recourse to both the issuer and the collateral. Permission to access markets could also be provided to the better run governments that meet certain governance requirements.
- **Enhancing Market Making Support.** A system of market making for corporate bonds could be considered to attract investors into issuances. The banks acting as underwriters or as joint lead managers of the issue could be the designated market-makers. In order to stabilize the issue post issuance and to fulfill their market-making responsibilities, a relaxation in SBLs could be provided for a defined period from the date of issuance.
- **Deepening the institutional investor base.** It is critical to address demand-side issues by diversifying the investor base and creating deeper pools of institutionalized capital. As was illustrated in Table 3 (Section IC 11), the Philippines currently lags regional peers in terms of the assets managed by its mutual and pension funds and the total assets of its insurance companies in proportion to its GDP. Creating a level playing field by eliminating regulatory and tax arbitrage among its collective investment schemes by passing the Collective Investment Scheme Law would be a significant step in this direction.

Equally important, is to develop its pension funds sector where reform is imperative. The state-owned pension funds, GSIS and SSS, currently operate on a defined benefit basis and remain unfunded. While immediate reform here may be difficult to achieve, greater asset allocations for corporate debt could still be cultivated. The main focus should be on the development of private pension funds. These would need to be offered by private-sector corporations and structured on a defined contribution basis to ensure that they were fully funded. Also, plans should be portable to ensure continuity should an employee change an employer. Such plans would place the onus on private pension fund managers to provide the requisite returns to pensioners to ensure the plan's sustainability and would need regulation as this is currently an unregulated sector. A potential way forward could be provided by PERA that was first introduced in 2008 to enable Philippine citizens to create individual retirement accounts,

offering 5 percent tax credits for contributions up to PHP 100,000 (individuals) and PHP (family). The revival of PERA may require the level of contributions to be enhanced and applicable tax credits to be significantly increased. Operations could also be simplified as currently unrelated parties are required to be the product provider, pension administrator and custodian of the assets.

- **Easier Registration Process.** A one-time registration with the BIR and PDTC for investors should be introduced which may require some modifications in the latter's registration system. This may make the process of seeking tax relief for tax-exempt investors easier and may also encourage more foreign participation. An easier investor registration process could also further stimulate secondary market trading.
- **Improving Market Infrastructure.** The proposed acquisition of PDEX by Landbank appears to be an attempt to improve market infrastructure by gaining control over the clearing and settlement system for corporate debt and equities that is managed by PDTC. While this may be legitimate cause to pursue the preferred methodology has the potential to be a market disruptive event which could compromise the SRO's integrity. The proposed acquisition will also require a relaxation of the SEC's single party ownership rules which will emit the wrong messaging to the market. Therefore, a market-wide solution to address trading and post-trading concerns should be developed. If there are concerns around the efficacy of PDTC's systems, then a different acquisition vehicle could be considered or PDEX convinced to transfer PDTC's operations to a separate operator that can introduce improved technology. The guiding principles for the proposed transaction should be clarity in the intended objectives along with complete transparency and compliance with key regulation. Effective communication with the market would also alleviate many of the existing concerns.
- **Increasing Issuer Awareness of Bonds.** It is the responsibility of both regulators and market stakeholders to educate the market and particularly prospective issuers about the benefits of disintermediation. In bank-centric markets, the distinction between bank loans and bonds must be clearly made as the latter instrument offers clear advantages to issuers in terms of size, tenor and non-collateralization. This is an exercise that is a part of improving financial literacy and facilitating the maturation of capital markets in the Philippines.

V. EQUITY MARKET

47. Listed companies are substantially owned and controlled by a limited number of family owned groups. In 2010, it was estimated that 12 family ownership groups controlled 75 percent of

the PSE's market capitalization³². Anecdotally, further consolidation has resulted in the top 10 business groups constituting 80 percent of market capitalization and 100 per cent of total corporate debt outstanding (inclusive of bank issues). Approximately a third of the top 100 companies are listed on the PSE while both listed and unlisted companies remain closely held. This ownership structure pervades the corporate sector and ultimately limits the number of issuers and the size of issues that come to market. Most of the conglomerates have listed resulting in reduced sizes in recent IPOs with only 4 out of the 20 IPOs from 2014-18 being in excess of USD 200 million.

48. Attracting listings from non-family owned businesses has proved challenging. A SME Board was created in 2003 but has had a total of 4 listings and none since 2015 despite efforts to explicitly focus on this sector. Such companies are largely filtered out by the regulatory requirements that specify minimum years and absolute amounts of profitability. In addition, the high transaction costs and the protracted nature of the listing process act as significant deterrents to new SME listings.

49. The stock market's investor base is institutionally driven. Foreign investors accounted for 51 percent of total trading volume in 2018³³, while their participation in primary markets is driven by the size of the offering that has remained small. The smaller sizes have enabled issues to be predominantly placed with domestic institutions.

50. Retail participation remains limited. Only 0.8 percent of the population maintains a stock brokerage account with active accounts reportedly a quarter of that number. The BSP's Consumer Finance Survey 2014 also revealed that only 0.2 percent of Filipino households owned securities and investment products. In aggregate, only 3 percent of Filipino adults invest in stocks, bonds or other collective investment schemes.

51. Legacy issues in relation to prompt, impartial and transparent enforcement actions to ensure investor protection continue to deter retail investors. Prosecution rates for serious offences and market misconduct have remained low although the number of cases sanctioned has increased. The fines associated with market misconduct are paltry and remain insufficient to deter violations. Consequently, investor protection is weakly perceived which can only be addressed through consistent and well publicized enforcement actions that increase confidence in the effectiveness and impartiality of the regulator.

52. The market is also largely illiquid with turnover below regional peers³⁴. In order to promote greater trading, the SEC implemented a new rule in November 2017, doubling the minimum

³² Technical Note on Capital Markets, FSAP, 2010.

³³ The level of foreign participation is more a reflection of the 'thinness' of equity markets and the lack of participation from domestic investors as the PSE constitutes a fraction in the composition of international equity indices.

³⁴ Please refer to Figure 4.in Section IB 7.

public float for firms conducting IPOs to 20 percent. However, the new rule may deter family-owned firms from further listings, impacting both the size and volume of IPOs³⁵. Consideration could also be given to lowering minimum float requirements for smaller-sized companies to encourage more listings. Trading liquidity is also concentrated in a small number of companies with the 25 most frequently traded companies accounting for almost a third of total market turnover in 2018³⁶.

53. The SEC has also not enforced its own rules consistently in terms of industry ownership limits at the PSE that were set at 20 percent post demutualisation. Despite efforts to limit brokers' ownership to 20 percent, this also remains at 26 percent with a greater amount of board control vested in the smaller but older brokers. Out of 134 brokers, the top 20 control approximately 80 percent of the business but do not have equivalent board representation. Disproportionate control by smaller brokers that do not benefit from the volumes generated by foreign investors incentivizes them to keep transaction costs high. Many of the smaller brokers also continue to not be in compliance with minimum capital requirements that have been set at PHP 100 million.

54. The issues that generally affect capital markets in the Philippines and have been explained in relation to corporate bond issuance, also apply to equity markets. As was pointed out in paragraphs 49 and 50, the structural composition of the Philippines economy has limited the size and volume of IPOs and the number of companies that are listed. In addition, an institutional investor base is dominant where foreign investors have become increasingly prominent in trading (6 of the top 10 brokers are also international) while domestic retail investors are scarce. In the absence of significant numbers of new listings, meagre retail participation and a lack of new products, equity markets have remained stagnant. The following analysis highlights some key issues and provides recommendations that could provide added impetus to market development³⁷.

A. Supply Side Issues

55. High rates of taxation have produced market distortions and do not represent best practice. The imposition of an IPO tax on a sliding scale that is derived from the size of the public offering in relation to company's total shares, can reach 4 percent for offerings up to 25 percent of a company's total stock³⁸. In order to avoid such taxes, IPOs have been structured as 'backdoor listings' whereby a dormant shell company that has already been listed is acquired. Assets are then transferred to this company and the subsequent recapitalization announced as a follow-on offering. This is obviously an inefficient listing process and raises other issues of market transparency and surveillance

³⁵ From 2014-2017, there were 4 listings annually while 2018 has witnessed only 1.

³⁶ PSE Annual Report, 2018.

³⁷ Please refer to Annexure D for a summary of recent key measures in the Philippines and regional peers.

³⁸ Section 127(B) of the SRC.

involving AML monitoring³⁹. The other notable tax is a stock transaction tax of 0.6 percent on the sale of shares while sale of unlisted shares attracts a 15 percent capital gains tax and a DST of 0.75 percent (there is no capital gains tax or DST on listed shares). Dividend income too is taxed at 10 percent for individuals while domestic institutions are exempt.

56. Broker commissions can vary between 0.25 to 1.5 percent and have been resistant to change. In a 2013 study cited in the 2013-2017 Capital Market Development Plan,⁴⁰ friction costs (inclusive of all related fees, commissions and taxes) at the PSE were estimated at 77 basis points. The most efficient country in the region was Singapore at 4.75 basis points while Thailand was estimated at 21 basis points. At the very least, friction costs were almost 4 times the next best country and more than 10 times the most efficient country.

57. The protracted registration process which is common to both debt and equity has already been discussed in Section IVA 40. All companies that apply for a listing are also required to exhibit a 3 year track record of profitability and also achieve minimum amounts of profits that makes many candidates ineligible. Within the approval processes, there is no distinction between the listing of the shares of a corporation and the increase in the shares of a mutual fund that is also required to be established as a corporation as per the Philippine Investment Company Act. In order to alleviate the situation, the SEC in January 2018, allowed such funds to issue units but lacunae remain in the tax treatment of these units especially in relation to deductions of FWT (UITFS are exempt from such deductions).

58. The introduction of new products has been problematic. Short-selling remains elusive as the trading system does not ensure anonymity and is unable to successfully track short positions especially where custodian accounts are involved. Brokers have also been unable to agree the terms of a Master Securities Lending Agreement as PSE rules preclude the acceptability of offshore collateral and the tax implications of utilising such securities have not been agreed with the BIR. In the past, an ETF was introduced but has foundered under the current tax regime, especially the stock transaction tax which taxes the initial exchange of the underlying basket of securities for the issuance of a new security and then the sale of the issued ETF. A REIT law was also passed in 2009 but there have been no instruments launched as the SEC required the public to be offered 67 percent of the REIT (the law had set the minimum at 33 percent) within 3 years of its flotation to maintain its tax exemptions and the DOF required proceeds to be deployed in purely domestic assets.

³⁹ The regulation and supervision of capital markets in the Philippines forms the basis of a separate Technical Note which is a part of this FSAP's deliverables.

⁴⁰ Prepared by the Capital Market Development Council which is a consultative forum comprising government departments, regulators and private sector professional associations.

B. Demand Side Issues

59. The difficulties related to on-boarding clients was commonly cited to the FSAP team as a primary impediment to market growth. The requirement to conduct KYC on a ‘face-to-face’ basis and onerous documentation requirements have also prevented making inroads into the potentially lucrative market of OFWs⁴¹. This problem is compounded by the fact that most broker offices tend to be Manila-centric.

60. A lack of financial literacy and awareness continue to impede greater retail participation in capital markets. It is incumbent upon both regulators and market intermediaries to continue investor education about the benefits of diversifying their investment portfolio through greater participation in capital markets.

C. Recommendations

61. The potential recommendations enumerated below must be viewed holistically. Taken together, they provide a powerful signal to the market that policy makers and key market stakeholders are committed to developing capital markets:

- **Reducing Transaction Costs.** This requires concerted and coordinated action between the DOF, BIR and SEC. 3 vital components need to be addressed – reducing transaction taxes, curbing fees and commissions and improving the regulatory process:
 - **The first requires a minimization of existing transaction taxes and a resistance to the imposition of any new taxes. In addition, a study should be commissioned in the manner explained in Section IVC 46 and for the SEC to explain that easier access to expansion capital will enable business growth.** This will allow more taxes to be collected directly from expanding businesses and a more efficient shift from a transaction-based taxation system that deducts at gross to progressive taxation that collects from net income.
 - **The second component focusing on reducing fees and commissions requires the SEC to enforce its rules and regulations more consistently in relation to key stakeholders, particularly brokers.** Resistance to lower fees and product innovation can only be ended if the PSE’s board becomes more representative of all its stakeholders. A possible starting point could be the uniform enforcement of minimum capital requirements required for brokers and ensuring that industry ownership limits for all parties are in compliance.

⁴¹ OFWs often do not possess short-term contracts or income tax return filings that are required as part of the documentation.

- **The third component requires a rationalization of the SEC’s approval processes and potential amendments in the listing requirements related to the minimum profitability stipulations in tenor and absolute values.** The need to review such requirements for SMEs is more pressing. In addition, the investment company laws require review to allow for differentiation between various types of capitalisations in relation to corporations and mutual funds. Greater automation at the SEC to reduce the level of physical documentation both in terms of registration and fulfilling ongoing requirements would also make a significant impact in expediting approvals⁴².
- **Increasing Investible Instruments by Introducing New Products.** New products and instruments such as ETFs, REITs, forwards and futures, new indices and short-selling are essential for further market development. While some attempts to introduce these products have been made in the past, they have foundered in the current tax environment in some cases, while in other instances, cumbersome regulation or a simple lack of commitment to innovation from the PSE seem to have thwarted progress. Consequently, there needs to be consensus at the SEC, BIR and DOF level as to policy in relation to capital markets and the direction they wish the PSE to take. This should be followed by the constitution of a new, more representative board at the exchange that proactively looks to drive change and promote product innovation.
- **Increasing the Retail Investor Base.** Online verification for all potential clients of brokers should be made possible provided all AML requirements have been met. Existing bank customers could also be allowed to open brokerage accounts with minimal additional documentation such that banks can perform ‘one-touch’ KYC at their branches. Concurrently, brokers could be encouraged to open more offices outside metro Manila.
- **Improving Investor Confidence by Enhancing Supervision and Enforcement.** It is imperative that the SEC continues to enforce its rules and regulations impartially while enhancing its processes for market surveillance⁴³ to provide greater protection to investors.
- **Increasing Financial Literacy.** Programs that target retail investors should be initiated in partnership with key market stakeholders. A demographic segmentation of the population would identify the groups that are most likely to participate in capital markets and these should become the primary points of focus for financial literacy programs.

⁴² More detail on improving the regulatory and supervisory processes at the SEC is provided in a separate Technical Note on ‘Capital Market Regulation and Supervision’ which is a part of this FSAP’s deliverables.

⁴³ *ibid.*

ANNEXES

A. Additional Information on Securities Trading

CORPORATE SECURITIES													
Philippine Dealing & Exchange Corp. (PDEX) (in million pesos)													
Monthly Trade Summary													
Month	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019
Jan	0	0	34	752	1399	381	6853	2005	2321	2061	3657	2407	2040
Feb	0	448	50	966	1417	403	4705	5991	3530	2661	2352	2229	2321
Mar	0	0	6	226	739	213	1846	2279	3247	4046	5415	2761	3356
Apr	0	0	193	8843	1342	2008	4618	6226	1882	4157	2950	2522	3886
May	0	0	41	5054	448	1439	2638	3266	4221	3871	5798	2133	10943
Jun	0	0	273	5104	1179	2871	2310	3939	3546	3325	2331	1505	0
Jul	0	0	180	9127	676	2052	3555	5669	2586	4104	4853	2819	0
Aug	0	0	204	3697	1072	1784	2050	5459	4785	5682	4788	2799	0
Sep	0	58	96	5807	757	1855	2642	4415	5361	3596	3962	1699	0
Oct	0	17	71	3676	687	577	5060	3029	4882	4241	3275	3428	0
Nov	0	44	620	979	867	767	2476	2098	1481	3053	3117	1560	0
Dec	59	11	439	768	551	893	1590	1569	2133	2182	2680	1577	0
TOTAL	59	577	2205	44999	11134	15243	40344	45946	39973	42979	45177	27441	22547
Number of Outstanding Listed Securities:						173	Number of Issuers*:					49	

Source: PDS

GS Volume Turnover 2019

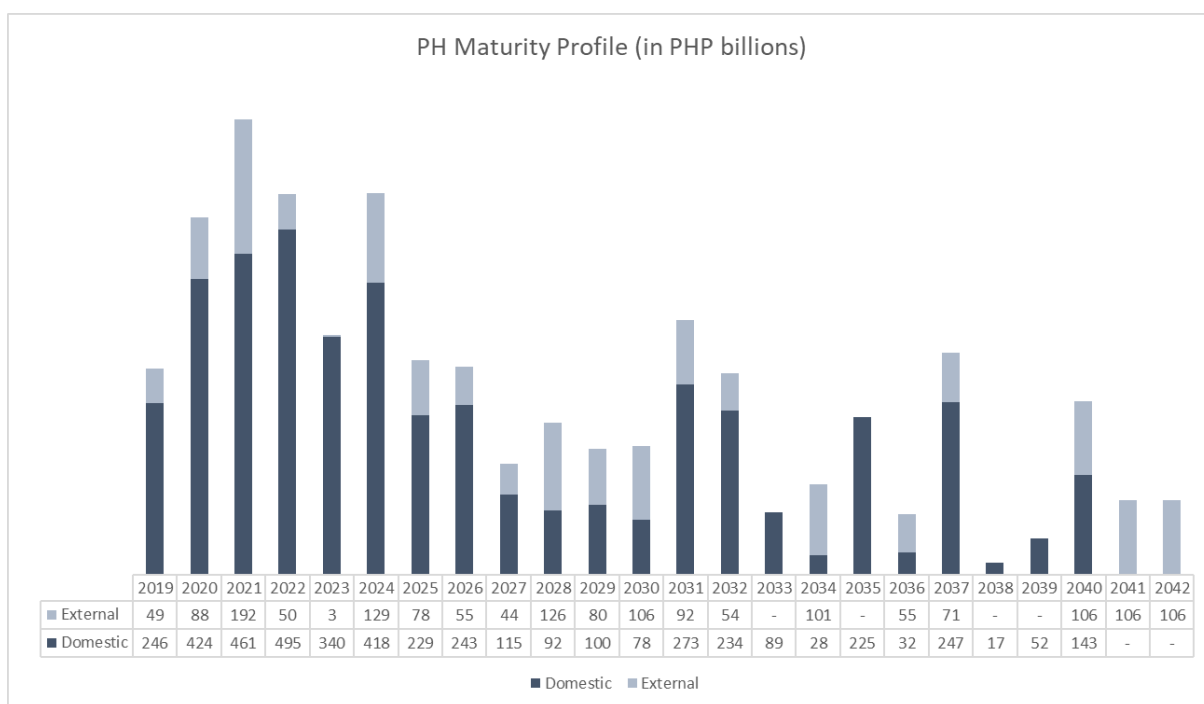
Rank	Top Traded GS in 2019	Years to Maturity	Outstanding Issue (PhP Bln)***	2019 Dealer Volume (PhP Bln)	2019 Investor Volume (PhP Bln)	2019 Total Traded Volume (PhP Bln)*	Turnover Ratio	Cumulative Turnover	Annualized Turnover	Volume Share	Cum. Volume Share
1	RTB 05-12	4.87	235.92	157.49	59.23	216.71	0.92	0.92	2.76	14.71%	14.71%
2	FXTN 10-64	9.71	80.00	92.38	56.65	149.03	1.86	1.16	5.59	10.12%	24.83%
3	FXTN 10-63	8.90	75.21	91.12	36.31	127.43	1.69	1.26	5.08	8.65%	33.48%
4	FXTN 05-75	3.86	76.78	67.35	58.51	125.86	1.64	1.32	4.92	8.54%	42.03%
5	FXTN 07-56	0.56	197.20	29.00	77.52	106.52	0.54	1.09	1.62	7.23%	49.26%
6	FXTN 07-61	5.96	73.66	82.66	23.52	106.18	1.44	1.13	4.32	7.21%	56.47%
7	FXTN 20-23	19.75	31.50	51.72	35.21	86.92	2.76	1.19	8.28	5.90%	62.37%
8	RTB 03-08	0.95	181.93	24.79	31.89	56.67	0.31	1.02	0.93	3.85%	66.21%
9	FXTN 07-62	6.80	50.00	33.23	14.14	47.37	0.95	1.02	2.84	3.22%	69.43%
10	FXTN 20-17	12.23	255.84	13.73	14.47	28.21	0.11	0.84	0.33	1.91%	71.35%
11-20			488.14	43.27	87.09	130.36	0.27	0.68	0.80	8.85%	80.20%
Others			3,197.35	73.05	218.66	291.71	0.09	0.30	0.27	19.80%	100.00%
Total			4,943.53								
Total Tradeable Amount**:			5,195.87	759.78	713.18	1,472.96	0.28	0.28	0.85		

*Source: BTr, April 2019

**Total amount tradable was obtained from BTr data as of March 2019.

***Outstanding issue amounts are BTr GS figures as of March 31, 2019, with reissuances and new issues on April 2019.

B. Philippines Debt Maturity Profile



Source: BTr, June 2019.

C. Comparison Between Collective Investment Schemes

Type of Scheme	Regulation	DST	FWT	Cap. Gains Tax*	Corp. Inc. Tax	Estate Tax**	Distribution
Mutual Funds	Regulated by the SEC as an open-ended investment company rather than as a fund and subject to the revised Corporation Code, Securities Regulation Code, Investment Company Act and its respective implementing rules and regulations. In order to prevent exposure to cumbersome rules and DST for increases in the authorized capital of a corporation to accommodate cash inflows, unitized mutual funds were introduced in SEC in 2018. Application costs can amount to PHP 1 million.	✓	Tax implications of corporation offering units for investment are untested and unclear with respect to FWT.	X	✓	✓	Distribution agents comprising advisors and investment companies are required, and must be licensed by the SEC.
UITF	Regulated by the BSP. Provided by the trust departments of banks as a unit investment scheme. Requires a minimum investment of PHP 10,000 although some banks accept 5,000. Application fees amount to PHP 10,000.	✓	X	X	✓	✓	Distribution agents should be certified by the TOAP.
VUL	Regulated by the IC. Provided by insurance companies as a unit investment scheme and a life insurance policy. Requires premium payments on life insurance.	✓	X	Personal income tax is payable.	✓	X	Exclusive distribution agents are required and are certified by both the IC and the SECP. Banks may also be involved on an exclusive basis in selling bancassurance.

*On redemption of units/ shares; **The transfer of a deceased person's assets to his/her heirs is subject to estate tax levied at 6% on the net estate of the deceased.

D. Capital Market Reforms in the Philippines, Malaysia and Indonesia

Country	Year	Expand Investor Base	Improve Market Infrastructure	Enhance Investor Protection	Policy Description
Philippines	1998			✓	PSE made SRO
	2000			✓	Enactment of SRC
	2002			✓	Promulgation of code of corporate governance
	2004			✓	IFRS made mandatory
	2006		✓		PDEX creation and swaps introduced
	2007		✓		Introduction of corporate bonds on PDEX
	2008	✓			Enactment of PERA
	2008		✓		Commencement of bond trading on PDEX through accredited brokers
	2008		✓		DST removed on stock trading
	2010		✓		Minimum float on public offer set at 10 percent
	2013	✓			Enactment of ETF rules and regulation
	2015			✓	Launch of IRR of SRC
	2016		✓		Approval of public-private partnership (PPP) rules
	2016			✓	Launch of corporate governance code for publicly listed companies
	2017	✓			Minimum public float increased to 20 percent
	2018	✓	✓		New Investment Company Act becomes effective and allows mutual funds to issue units; removes minimum investment requirements and allows registration of feeder funds.
	2019	✓	✓		Revised Corporation Code becomes effective.

Country	Year	Expand Investor Base	Improve Market Infrastructure	Enhance Investor Protection	Policy Description
Malaysia	2000			✓	Release of Malaysian code on corporate governance
	2003		✓		Streamlining of IPO approval process
	2003		✓		Standardization of lot sizes
	2003		✓		Demutualisation of Kuala Lumpur Stock Exchange
	2004		✓		Enactment of revised guidelines on private placement of debt securities
	2004		✓		Immediate approval of bond issues for selected issuers
	2004			✓	Enhancement of corporate disclosure

	2006		✓		Facilitation of foreign-owned firms listings on domestic markets
	2007			✓	Enhancement of corporate governance provisions
	2007			✓	Enactment of Capital Markets and Services Act 2007
	2008		✓		Introduction of greenshoe mechanism
	2009		✓		Reduction of cost of regulatory compliance
	2009		✓		Establishment of credit guarantees for lower-rated firms issuing bonds
	2009		✓		Comprehensive revamp of Malaysia exchange structure
	2012	✓			Introduction of retail investors to corporate bond market

Country	Year	Expand Investor Base	Improve Market Infrastructure	Enhance Investor Protection	Policy Description
Indonesia	1997	✓			Revocation of stock purchase limit by foreign investors
	1997		✓		Regulation of asset-backed securities
	2006			✓	Regulation for Shari'a compliant instruments in capital markets
	2007		✓		Merger of Jakarta and Surabaya Stock Exchanges
	2008			✓	Establishment of Indonesia Bond Pricing Agency
	2011			✓	Enactment of law on Financial Services Authority (OJK)
	2012			✓	Establishment of OJK
	2013		✓		Development of capital markets data warehouse system
	2013		✓		Enactment of regulation to facilitate share buybacks under fluctuating market conditions
	2013			✓	Facilitation of settlement of transactions using custodian banks
	2013			✓	Launch of investor protection fund
	2013			✓	Establishment of single investor identity
	2014		✓		Establishment of credit guarantees for lower-rated firms issuing bonds
	2014		✓		Implementation of new lot sizes and price fractions
	2014			✓	Enactment of OJK regulation on sustainable public offering
	2014			✓	Launch of roadmap to good corporate governance for issuers and public companies
	2015	✓			Regulation for ETFs
	2015			✓	New regulation for Shari'a compliant instruments for capital markets

	2015			✓	Launch of issuers reporting system through extensible business reporting language
	2016		✓		Launch of electronic licensing and registration system
	2016		✓		Launch of integrated investment management system
	2016		✓		Establishment of Indonesia securities financing
	2016			✓	Launch of investor alert portal

Source: 'The Rise Of Domestic Capital Markets for Corporate Financing', Policy Research Working Paper 8844, May 2019.